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County: los-angeles

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Case Number: 24STCV13097 Hearing Date: June 30, 2026 Dept: 508

Superior Court

of California

County of Los

Angeles

Department 508

JI YOUNG JANG,

Plaintiff,

vs.

ELLO TRADING, INC.,

Defendant.

Case No.:

24STCV13097 [c/w 25STCV32469]

Hearing Date:

June 30, 2026

Hearing Time: 1:30 p.m.

[TENTATIVE]
ORDER RE:

PLAINTIFF JI YOUNG JANG'S MOTION FOR SUMMARY JUDGMENT OR, IN THE ALTERNATIVE, SUMMARY ADJUDICATION OF ISSUES, AGAINST DEFENDANT ELLO TRADING, INC.

Background

On May 24, 2024, Plaintiff Ji Young Jang ("Jang") filed a complaint against Defendant Ello Trading, Inc. ("Ello"), asserting three causes of action for (1) rescission; (2) declaratory relief; and (3) unfair competition – Bus. & Prof. Code § 17200, et seq.

On November 3, 2025, Ello filed and served a notice of stay of proceedings. (11/03/25 Notice of Stay of Proceedings.) Defendant indicated, inter alia, that the action was stayed with regard to all parties due to the filing of a Chapter 7 bankruptcy case by Defendant. (11/03/25 Notice of Stay of Proceedings, p. 1.) On April 8, 2026, the Court lifted the bankruptcy stay and resumed the case.

Also on April 8, 2026, the Court granted Ello's counsel's motion to be relieved as counsel. Ello does not appear to have obtained new counsel.

Jang now moves for summary judgment or, in the alternative, summary adjudication. Ello did not file an opposition.

Legal Standard

"[T]he party moving for summary judgment bears the burden of persuasion that there is no triable issue of material fact and that he is entitled to judgment as a matter of law." ((Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 850.) A triable issue of material fact exists if the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof. (Ibid.)

“When deciding whether to grant summary judgment, the court must consider all of the evidence set forth in the papers (except evidence to which the court has sustained an objection), as well as all reasonable inferences that may be drawn from that evidence, in the light most favorable to the party opposing summary judgment.” (Avivi v. Centro Medico Urgente Medical Center (2008) 159 Cal.App.4th 463, 467;Code Civ. Proc., section 437c, subd. (c).)

A motion for summary judgment or adjudication’s function is to allow a determination as to whether an opposing party cannot show evidentiary support for a pleading or claim and to enable an order of summary dismissal without the need for trial. ((Aguilar v. Atlantic Richfield Co., supra, 25 Cal.4th at p. 843.) In analyzing such motions, courts must apply a three-step analysis: “(1) identify the issues framed by the pleadings; (2) determine whether the moving party has negated the opponent’s claims; and (3) determine whether the opposition has demonstrated the existence of a triable, material factual issue.” ((Hinesley v. Oakshade Town Center (2005) 135 Cal.App.4th 289, 294.) Summary judgment or adjudication is proper when “all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law.” (Code Civ. Proc., section 437c, subd. (c);See also Villa v. McFerren (1995) 35 Cal.App.4th 733, 741.)

The moving party bears the initial burden of production to make a prima facie showing that there are no triable issues of material fact. ((Aguilar v. Atlantic Richfield Co., supra, 25 Cal.4th at p. 850.) As to each claim as framed by the complaint, the defendant moving for summary judgment or adjudication must satisfy the initial burden of proof by presenting affirmative evidence to disprove at least one essential element of the plaintiff’s cause of action, show that an element cannot be established, or to establish an affirmative defense. (Code Civ. Proc., section 437c, subd. (p)(2);Sanchez v. Swinerton & Walberg Co. (1996) 47 Cal.App.4th 1461, 1465.)

Once the moving defendant meets its burden for a particular cause of action, the burden shifts to the nonmoving plaintiff. ((Code Civ. Proc., § 437c, subd. (p)(2).) The plaintiff may defeat the motion by producing evidence showing that a triable issue of one or more material facts exists as to that cause of action. (Ibid.)

On a motion for summary judgment or

adjudication, the moving party's supporting documents are strictly construed, while the nonmoving party's documents are liberally construed. (D'Amico v. Board of Medical Examiners (1974) 11 Cal.3d 1, 24.) Any "doubts as to the propriety of granting the motion should be resolved in favor of the party opposing the motion." (Ibid.)

Discussion

A. Allegations of the Complaint

Jang's complaint alleges that "Defendant ELLO and Plaintiff entered discussions for Plaintiff to become a franchisee of Defendant ELLO's 'K Kpop Station' franchise. (Compl., ¶ 18.) Prior to entering into an agreement or being provided "with a Franchise Disclosure Document, Plaintiff wired $100,000.00 to Defendant ELLO in 2 payments." (Compl., ¶ 20 [emphasis omitted].) Ello "has failed to provide Plaintiff with a Franchise Disclosure Document, as required under California law, or any other information relating to the business system of Defendant ELLO's 'K Kpop Station' franchise business - despite numerous requests by Plaintiff for such information." (Compl., ¶ 22 [emphasis omitted].) Jang alleges that "[b]y failing to register the 'K Kpop Station' business with the CDFPI, Defendant ELLO is operating an illegal and unregistered franchise, in violation of California law. Consequently, Plaintiff is entitled to rescind the agreement, if any, for the San Diego store and to recover restitution/damages in the amount of $100,000 that was paid to Defendant ELLO for the unregistered and illegal franchise." (Compl., ¶ 25.)

B. Discussion

Jang asserts that no triable issue of material fact exists and that she is entitled to summary judgment. Jang asserts that she is "entitled to rescission and refund on the agreement for the purchase of two 'K Kpop Stores' from Defendant ELLO because, (1) Defendant ELLO, under California law, is an unregistered franchise that sold a franchise to Plaintiff JANG, and (2) Plaintiff JANG did not receive anything in exchange for the $100,000 she paid to Defendant ELLO." (Mot., 3:19-23.)

Under Business and Professions Code section 20001 a franchise is defined as "a contract or agreement, either expressed or implied, whether oral or written, between two or more persons by which: (a) A franchisee is granted the right to engage in the business of offering, selling or distributing goods or services under a marketing plan or system prescribed in substantial part by a franchisor;¿and (b) The operation of the franchisee’s business pursuant to that plan or system is substantially associated with the franchisor's trademark, service mark, trade name, logotype, advertising, or other commercial symbol designating the franchisor or its affiliate; and (c) The franchisee is required to pay, directly or indirectly, a franchise fee.”

Corporations Code section 31110 prescribes that “it shall be unlawful for any person to offer or sell any franchise in this state unless the offer of the franchise has been registered under this part or exempted under Chapter 1 (commencing with Section 31100) of this part.” While Corporations Code section 31119, subdivision (a) provides, “[i]t is unlawful to sell any franchise in this state that is subject to registration under this law without first providing to the prospective franchisee, at least 14 days prior to the execution by the prospective franchisee of any binding franchise or other agreement, or at least 14 days prior to the receipt of any consideration, whichever occurs first, a copy of the franchise disclosure document, together with a copy of all proposed agreements relating to the sale of the franchise.” “Any person who offers or sells a franchise in violation of Section … 31110, 31119 … shall be liable to the franchisee or subfranchisor, who may sue for damages caused thereby, and if the violation is willful, the franchisee may also sue for rescission…” (Corp. Code, § 31300, subd. (a).)

As for California’s Unfair Competition Law (“UCL”), it “does not proscribe specific activities, but broadly prohibits any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising. The UCL governs anti-competitive business practices as well as injuries to consumers, and has as a major purpose the preservation of fair business competition. By proscribing any unlawful business practice, section 17200 borrows violations of other laws and treats them as unlawful practices that the unfair competition law makes independently actionable. Because . . . section 17200 is written in the disjunctive, it establishes three varieties of unfair competition—acts or practices which are unlawful, or unfair, or fraudulent.” ((Puentes v. Wells Fargo Home Mortgage, Inc. (2008) 160 Cal.App.4th 638, 643-644 [internal quotations and citations omitted].)

“An ‘unlawful’ practice requires violation of another statute, and a business practice may be ‘unfair’ even if not otherwise proscribed by statute as long as the practice is not expressly authorized by law." ((People ex rel. Dept. of Motor Vehicles v. Cars 4 Causes (2006) 139 Cal.App.4th 1006, 1016.) "Unlawful business activity proscribed under section 17200 includes anything that can properly be called a business practice and that at the same time is forbidden by law." (Farmers Ins. Exch. v. Superior Ct. (1992) 2 Cal.4th 377, 383 [internal quotations omitted].)

Ello is a California corporation, but Ello is not a registered franchise in California or any other state in the United States. (Ex. 1, pp. 9-10, FROG, No. 3.1; pp. 11-12, FROG Nos. 15.1, 17.1.) Ello's CEO, Jihwan Lee, applied for a trademark with the United States Patent and Trademark Office ("USPTO") for the tradename "K Kpop Station," but was not granted the trademark. (Ex. 2, pp. 21-22, SROG, Nos. 27, 30.) Currently, Ello does not have a registered "K Kpop Station" trademark with the USPTO, nor is there a pending application. (Ex. 4, pp. 39-40, SROG, Nos. 97, 99.) Ello operates and sells merchandise at various unregistered "K Kpop Station" stores, with identical storefronts. (Ex. 2, pp. 18-19, SROG, No. 18; pp. 112.)

Ello entered into an agreement with Jang where Ello would set up a retail store in Escondido, California and Chicago to sell K-Pop related merchandise. (Ex. 1, pp. 11-12, FROG Nos. 15.1, 17.1.) Ello denies being an unregistered franchise. (Ex. 10, p. 90, RFA, No. 30.) However, Ello's invoices describe itself as a franchise. (Ex. 13, pp. 115, 118, RFPD, No. 29.) Ello never provided Jang or any other franchisees with a franchise disclosure statement for the "K Kpop Station" business. (Ex. 2, p. 25, SROG No. 57; Ex. 9, pp. 83-84, RFA, Nos. 18-19.) Moreover, Ello's CEO also sent Jang an email with information about entering into business with Jang, labeling the email chain as "KPOP STATION STORE FRANCHISING." (Jang Decl., ¶ 2, Ex. 14.) In text messages Jang exchanged with Ello, Jang referenced the proposed business arrangement as a "franchise," which Ello did not correct or contest. (Ex. 12, pp. 100-101, 104-108.) Additionally, Ello admits that the San Diego and Chicago stores were not a partnership between Jang and Ello. (Ex. 3, pp. 32-33 - SROG, Nos. 88-89.)

On October 5, 2023, Ello sent an invoice charging Jang $100,000 for the San Diego store, $100,000 for the Chicago store, and $24,000 for merchandise. (Ex. 12, p. 111.) Pursuant to this invoice and Ello's admission, Jang paid a $100,000 deposit towards the two "K

Kpop Station" stores, which Ello received. (Ex. 9, p. 85, RFA, Nos. 26-27.) Despite the parties' agreement, Ello contends that it never sold any merchandise to Jang or any business entity owned by Jang. (Ex. 7, p. 71, SROG, No. 207; Ex. 8, p. 76, SROG, 210.) Ello refuses to return Jang's $100,000 payment because Ello contends that it "did not enter into a franchise agreement with plaintiff." (Ex. 3, pp. 33-34, SROG, No. 94.)

Based on the foregoing undisputed facts, Jang contends that "there is no question that Defendant ELLO knowingly operates an unregistered franchise in California, and under California law (California Corporations Code §31300), Plaintiff JANG is entitled to rescind that proposed franchise relationship for the San Diego Store and the Chicago Store, and is further entitled to the refund of the $100,000 that Plaintiff paid to Defendant ELLO." (Mot., 10:10-12.) Additionally, Jang asserts that "it is undisputed that Defendant ELLO received $100,000 from Plaintiff JANG in October 2023 (SSUMF No. 21) but that its affiliated entities owned by the principals of Defendant ELLO, Lacellin Corp. and Kpop America, Inc., opened the San Diego Store and Chicago Store, respectively (SSUMF Nos. 22-23). Moreover, it is undisputed that Defendant ELLO never sold any merchandise to Plaintiff JANG or any business entity owned by Plaintiff JANG. (SSUMF No. 25). Consequently, Plaintiff JANG received nothing in value for the $100,000 paid to Defendant ELLO and there was a total failure of consideration. As a result, Plaintiff JANG is entitled to rescission and a refund of the $100,000 paid to Defendant ELLO as a matter of law." (Mot., 11:1-8.)

The Court finds that based on the evidence provided by Jang, and the lack of Ello raising any triable issues of material fact, Ello knowingly, intentionally, and willfully operates and operated unauthorized franchises and offered and attempted to sell unauthorized franchises. Ello accepted $100,000 from Jang in consideration for allowing Jang to franchise the San Diego and Chicago stores, but never provided Jang with the stores, nor did Ello refund Jang the money she gave in consideration for the franchises. Accordingly, the Court finds that Jang demonstrates that she is entitled to recission under the contract, declaratory relief that she has a right to rescind the agreement and get a return of her $100,000, and that Ello operated an unlawful business as defined under the Business and Professions Code section 172000.

Conclusion

Based on the foregoing, Jang’s motion for summary judgment is GRANTED in its entirety. Jang is ordered to file a proposed judgment within ten days of this Order.

Jang is ordered to give notice of this Order.

DATED: June 30, 2026

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Hon. Teresa A. Beaudet

Judge, Los Angeles Superior Court